

Registration number: 03220373

Bridgepoint Advisers Limited
ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2023

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Bridgepoint Advisers Limited

Strategic Report for the Year Ended 31 December 2023

The Directors present their strategic report for the year ended 31 December 2023.

Principal activity

The principal activity of Bridgepoint Advisers Limited (the "Company") is to act as a fund manager. The Company is regulated by the Financial Conduct Authority ("FCA") to conduct business under the requirements of the Financial Services and Markets Act 2000. There have not been any significant changes in the Company's principal activities during the year under review.

The Company forms part of the Bridgepoint group of companies (together, the "Group").

Results

The profit for the financial year is £16.9m (2022: £12.8m) and at the year end the Company has net assets of £132.3m (2022: £108.2m).

Principal risks and uncertainties

The business is subject to risks associated with the performance of the funds managed, the tax and regulatory regimes within which the Company's business operates and attracting and retaining the services of key investment professionals and operational risks.

Fundraising risk

The alternative investment management sector is intensely competitive, with the Group competing with a number of other asset managers for investor capital, including sponsors of public and private investment funds. The inability to raise additional or successor funds (or raise successor funds of a comparable size to predecessor funds), or a change in the terms on which investors are willing to invest, could have a material adverse impact on the Company's business, revenue, net income, cash flows or the ability to retain employees.

Bridgepoint's capital raising efforts are supported by an in-house global investor services team, which utilises the Group's data and technology capabilities. As a leading middle market private equity manager, the Group offers investors a differentiated approach arising from its global reach and ability to deploy capital across middle market strategies. This differentiation insulates the Group, to some extent, against the competitive pressures arising in respect of attracting fund investors.

Regulatory risk

At the Group has corporate and fund entities located in multiple jurisdictions and a diverse investor base it is subject to a wide range of laws and regulations and is supervised by a number of regulators. Failure to comply with these professional conduct rules, laws and regulations may put the Group at risk of fines, lawsuits or reputational damage. The Group has dedicated Legal and Compliance functions that provide guidance to the business on its regulatory and legal obligations. These functions monitor regulatory and legislative changes in the jurisdictions in which we operate and interact with regulators and industry bodies to stay informed of regulatory changes.

Loss of key personnel

The Company relies on the expertise and knowledge of investment executives of the Group. Unexpected loss of one or more key employees could adversely affect the Company's business. The Group has competitive incentive schemes designed to attract and retain its people and is committed to providing competitive remuneration packages.

Bridgepoint Advisers Limited

Strategic Report for the Year Ended 31 December 2023

Technology Risk

The Group relies on the secure processing, storage and transmission of confidential and other information in its computer systems and networks. Cyber-security incidents and cyber-attacks have been occurring globally at a more frequent and severe level and will likely continue to increase in frequency in the future. Cyber-security failures, technology failures or data security breaches could result in the confidentiality, integrity or availability of data being negatively affected, causing disruption or damage to us. The Group have in place an internal vulnerability management programme, as well as critical asset processes to patch critical vulnerabilities.

Foreign exchange risk

The Company is subject to foreign exchange risk arising from its management fees earned. Further details of the exposure is included in notes to these financial statements.

Credit and liquidity risk

Credit risk is the risk of financial loss to the Company as a result of a counterparty failing to meet its contractual obligations. This risk is principally in connection with the Company's receivables from group undertakings. The Directors consider the Company's credit exposure to trade and other receivables to be low. The Company's credit exposure to the Group entities is linked to the liquidity risk of the Group.

The Company is also required to calculate its liquid assets as part of its compliance with its minimum regulatory capital requirements set out by the Financial Conduct Authority (the "FCA"). The Company has complied with its regulatory capital requirements during the year ended 31 December 2023.

Key Performance Indicators

The Company considers its performance in the context of the broader performance of the Bridgepoint Group plc consolidated group, and the life cycle of the funds to which it acts as a manager. As such an analysis of its performance by reference to key performance indicators is not straightforward.

To the extent that the Company has key performance indicators these are Assets under management ('AUM'), management and other fee income and profit before tax. The performance of these in the current and prior year are shown in the table below. All three metrics are trending in line with expectations considering the performance and life cycle of the funds that the Company manages.

	2023	2022
Assets under management ("AUM") (€m)	21,230	20,724
Profit before tax ("PBT") (£'000s)	22,964	17,641
Management and other fee income (£'000)	164,295	149,765

Bridgepoint Advisers Limited

Strategic Report for the Year Ended 31 December 2023

Statement by the Directors in performance of their statutory duties in accordance with s172(1) Companies Act 2006

The Directors of the Company, as those of all UK companies, must act in accordance with a set of general duties, which are detailed in Section 172 of the UK Companies Act 2006.

A director of a company must act in the way they consider, in good faith, would be most likely to promote the success of the company for the benefit of its shareholders as a whole and, in doing so have regard (among other matters) to:

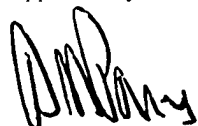
- the likely consequences of any decision in the long-term;
- the interest of the company's employees;
- the need to foster the company's relationships with suppliers, customers and others;
- the impact of the company's operations on the community and environment;
- the desirability of the company maintaining a reputation for high standards of business conduct;
- the need to act fairly as between shareholders of the company.

The parent entity, Bridgepoint Group plc, has a Group Board (consisting of the directors of Bridgepoint Group plc) which takes executive responsibility for the strategic direction of Bridgepoint Group plc and its controlled entities including the Company. It has executive responsibility for setting the Group's strategy and ensuring that the shared values and business objectives are upheld and met.

The directors of the Company are involved in decisions that impact the Company as required under the Companies Act 2006. Such matters include making commitments to investments and subsidiary companies and a decision to pay a dividend.

An explanation of how the Group Board has considered the matters of Section 172 (for the Group, including the Company) is set out in the annual report and accounts of Bridgepoint Group plc. This includes details of the development, performance and position of the Group, as well as how the Group undertakes business conduct, employee and fund investor engagement, risk management and community engagement.

Approved by the Board and signed on its behalf on 24 April 2024 by:



A M Jones
Director

Bridgepoint Advisers Limited

Directors' Report for the Year Ended 31 December 2023

The Directors present their annual report together with the audited financial statements (the "Financial Statements") of the Company for the year ended 31 December 2023.

Results and dividends

The results for the financial year are shown on page 10.

In the financial year of 2023 the Directors have not proposed a dividend (2022: nil).

Future developments

The Directors do not anticipate any significant change in the business of the Company.

Directors of the Company

The Directors who held office during the year and up to the date of this report were as follows:

A M Jones
W N Jackson
J R Hughes
G P Weldon
R C Thompson

Directors' indemnity

During the period and at the time of signing, each Bridgepoint Group entity maintains liability insurance for Directors and Officers of the Bridgepoint Group and associated companies, which includes the Company. This is a qualifying third party indemnity provision for the purpose of the Companies Act 2006.

Statement of Directors' Responsibilities

The Directors acknowledge their responsibilities for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law). Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable United Kingdom Accounting Standards, comprising FRS 102, have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Bridgepoint Advisers Limited

Directors' Report for the Year Ended 31 December 2023

Statement of engagement with suppliers, customers and others in a business relationship with the Company

From the perspective of the Directors of the Company, as a result of the Group governance structure, the Group Board has taken the lead in carrying out the duties of the Company in respect of its shareholders, employees, fund investors and community engagement. An explanation of how the Group Board has carried out these responsibilities (for the Group and for the Company) is set out in the annual report and results of Bridgepoint Group plc.

Post balance sheet events

There have been no material events after the reporting period that would require adjusting or disclosing within these accounts.

Disclosure of information to the auditor

Each Director at the time when the Directors' Report is approved has confirmed that:

- so far as the Director is aware, there is no relevant audit information needed by the Company's auditor in connection with preparing their report of which the Company's auditor is unaware; and
- the Director has taken all the steps that ought to have been taken as a Director in order to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Appointment of auditor

Pursuant to Section 487 of the companies act 2006, the auditors will be deemed to be reappointed and Mazars LLP will therefore continue in office.

Approved by the Board and signed on its behalf on 24 April 2024 by:



A M Jones
Director

Independent auditor's report to the members of Bridgepoint Advisers Limited

Opinion

We have audited the financial statements of Bridgepoint Advisers Limited (the 'Company') for the year ended 31 December 2023 which comprise the Profit and Loss Account, the Statement of Comprehensive Income, the Balance Sheet, the Statement of Changes in Equity and notes to the financial statements, including a summary of significant accounting policies.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 December 2023 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the "Auditor's responsibilities for the audit of the financial statements" section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Statement of Directors' Responsibilities set out on page 4, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud.

Based on our understanding of the Company and its industry, we considered that non-compliance with the following laws and regulations might have a material effect on the financial statements: tax legislation, the UK Bribery Act, the Financial Services and Markets Act, and anti-money laundering regulation.

To help us identify instances of non-compliance with these laws and regulations, and in identifying and assessing the risks of material misstatement in respect to non-compliance, our procedures included, but were not limited to:

- inquiring of management and, where appropriate, those charged with governance, as to whether the Company is in compliance with laws and regulations, and discussing their policies and procedures regarding compliance with laws and regulations;
- inspecting correspondence, if any, with relevant licensing or regulatory authorities;
- communicating identified laws and regulations to the engagement team and remaining alert to any indications of non-compliance throughout our audit; and
- considering the risk of acts by the Company which were contrary to applicable laws and regulations, including fraud.

We also considered those laws and regulations that have a direct effect on the preparation of the financial statements, such as Financial Conduct Authority regulations, and the Companies Act 2006.

In addition, we evaluated the directors' and management's incentives and opportunities for fraudulent manipulation of the financial statements, including the risk of management override of controls, and determined that the principal risks related to: manipulating accounting records and preparing fraudulent financial statements by overriding controls that otherwise appear to be operating effectively, and the inappropriate recognition of turnover due to the manual nature of the calculation process.

Our audit procedures in relation to fraud included but were not limited to:

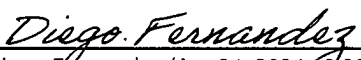
- making enquiries of the directors and management on whether they had knowledge of any actual, suspected or alleged fraud;
- gaining an understanding of the internal controls established to mitigate risks related to fraud;
- discussing amongst the engagement team the risks of fraud;
- addressing the risks of fraud through management override of controls by performing journal entry testing; and
- assessing the controls in place around the recognition of turnover, and for a sample of contracts, agreeing the terms to the relevant legal agreements, validating key inputs to supporting evidence and verifying the arithmetical accuracy of the calculation of their turnover.

There are inherent limitations in the audit procedures described above and the primary responsibility for the prevention and detection of irregularities including fraud rests with management. As with any audit, there remained a risk of non-detection of irregularities, as these may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal controls.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of the audit report

This report is made solely to the Company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body for our audit work, for this report, or for the opinions we have formed.


Diego Fernandez (Apr 24, 2024 18:20 GMT+1)

Diego Fernandez (Senior Statutory Auditor) for and on behalf of Mazars LLP
Chartered Accountants and Statutory Auditor
30 Old Bailey
London
EC4M 7AU
24 April 2024

Bridgepoint Advisers Limited

Profit and Loss Account for the Year Ended 31 December 2023

	Note	2023 £ 000	2022 £ 000
Turnover	5	164,853	150,437
Management fees payable		<u>(82,922)</u>	<u>(72,242)</u>
Gross profit		81,931	78,195
Administrative expenses*	6	(65,678)	(65,051)
Net foreign exchange gains		789	2,656
Other income*		<u>1,595</u>	<u>1,312</u>
Profit before interest and tax		18,637	17,112
Interest receivable and similar income		<u>4,327</u>	<u>529</u>
Profit before tax		22,964	17,641
Taxation	9	<u>(6,082)</u>	<u>(4,888)</u>
Profit for the financial year		<u><u>16,882</u></u>	<u><u>12,753</u></u>

* Refer to change in presentation discussed in note 3(b).

The results above relate to continuing operations.

The notes on pages 14 to 25 form an integral part of these financial statements.

Bridgepoint Advisers Limited

Statement of Comprehensive Income for the Year Ended 31 December 2023

	Note	2023 £ 000	2022 £ 000
Profit for the year		<u>16,882</u>	<u>12,753</u>
Other comprehensive income:			
Unrealised gains/(losses) gains/(losses) on cash flow hedges before tax		5,101	(9,046)
Reclassifications to Profit and Loss Account		3,058	(2,079)
Total tax on components of other comprehensive income		<u>(2,030)</u>	<u>2,596</u>
Other comprehensive income/(expense) for the year, net of tax		<u>6,129</u>	<u>(8,529)</u>
Total comprehensive income for the year		<u><u>23,011</u></u>	<u><u>4,224</u></u>

The results above relate to continuing operations.

The notes on pages 14 to 25 form an integral part of these financial statements.

Bridgepoint Advisers Limited
(Registration number: 03220373)
Balance Sheet as at 31 December 2023

	Note	2023 £ 000	2022 £ 000
Non-current assets			
Tangible assets	10	25,017	26,948
Other receivables		<u>1,949</u>	<u>1,624</u>
		<u>26,966</u>	<u>28,572</u>
Current assets			
Debtors: amounts falling due within one year	11	483,649	400,973
Financial assets at fair value	12	2,411	-
Term deposits with original maturities of more than three months		-	50,000
Cash and cash equivalents		<u>22,164</u>	<u>23,770</u>
		508,224	474,743
Current liabilities			
Financial liabilities at fair value	12	(1,649)	(12,169)
Creditors: amounts falling due within one year	13	(366,901)	(357,401)
Accruals and deferred income		<u>(32,875)</u>	<u>(23,722)</u>
Net current assets		<u>106,799</u>	<u>81,451</u>
Total assets less current liabilities		133,765	110,023
Non-current liabilities			
Deferred tax liabilities*		(1,481)	(1,784)
Net assets		<u>132,284</u>	<u>108,239</u>
Capital and reserves			
Called up share capital	15	5	5
Cash flow hedge reserve		648	(7,511)
Retained earnings		130,896	115,604
Share-based payment reserve		<u>735</u>	<u>141</u>
Total equity		<u>132,284</u>	<u>108,239</u>

* Refer to change in presentation discussed in note 3(b).

The financial statements of Bridgepoint Advisers Limited were approved and authorised by the Board of Directors and signed on its behalf on 24 April 2024 by:



A M Jones
Director

The notes on pages 14 to 25 form an integral part of these financial statements.

Bridgepoint Advisers Limited

Statement of Changes in Equity for the Year Ended 31 December 2023

	Note	Called up share capital £ 000	Share-based payment reserve £000	Cash flow hedge reserve £ 000	Retained earnings £ 000	Total equity £ 000
At 1 January 2022		5	35	3,614	100,255	103,909
Profit for the year		-	-	-	12,753	12,753
Cash flow hedges	12	-	-	(11,125)	2,596	(8,529)
Total comprehensive income for the year		-	-	(11,125)	15,349	4,224
Share based payment transactions		-	106	-	-	106
At 31 December 2022		5	141	(7,511)	115,604	108,239
At 1 January 2023	Note	5	141	(7,511)	115,604	108,239
Profit for the year		-	-	-	16,882	16,882
Cash flow hedges	12	-	-	8,159	(2,030)	6,129
Total comprehensive (loss)/income for the year		-	-	8,159	14,852	23,011
Share based payment transactions		-	1,034	-	-	1,034
Transfers		-	(440)	-	440	-
At 31 December 2023		5	735	648	130,896	132,284

The notes on pages 14 to 25 form an integral part of these financial statements.

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

1 General information

The Company is a private company limited by shares and domiciled in the United Kingdom. The Company was incorporated in England and Wales. The address of its registered office and principal place of business is 5 Marble Arch, London, W1H 7EJ.

2 Statement of compliance

The individual financial statements of the Company have been prepared in compliance with United Kingdom Accounting Standards, including Financial Reporting Standard 102, "The Financial Reporting Standard applicable in the United Kingdom and Republic of Ireland" ("FRS 102") and the Companies Act 2006.

3 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

(a) Basis of preparation

These financial statements have been prepared under the historical cost convention, as modified by certain financial assets and liabilities measured at fair value through profit or loss, when it is required by FRS 102.

(b) Changes in presentation

The presentation of rental income has been changed in the Profit and Loss Account. This change is to reclass the income from sublease that has been netted within administrative expenses into other income for the years ended 31 December 2023 and 2022. The change does not impact the net profit for both years.

The presentation of deferred tax liabilities has also been changed in the balance sheet as they are not expected to settle within 12 months after the reporting period. As a result, the classification of deferred tax liabilities has been changed from current liabilities to non-current liabilities at 31 December 2023 and 31 December 2022. The change in the presentation does not impact the net assets throughout the financial statements.

(c) Going concern

The Company is a regulated entity. As such, the Company is required to maintain sufficient capital under the regulations of the Financial Conduct Authority, which it continues to do. The financial statements have been prepared on a going concern basis as the directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for a period of at least 12 months from the date of signing the annual report and financial statements having assessed the business risks, financial position and resources of the Company. It is the intention to continue to run the business as such, there are short term and medium term financial plans that indicate the Company will continue to operate as a going concern and a reasonable expectation that those plans can be implemented.

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

3 Summary of significant accounting policies (continued)

(d) Exemption under Financial Reporting Standards

FRS 102 allows a qualifying entity certain disclosure exemptions, subject to certain conditions, which have been complied with, including notification of, and no objection to, the use of the exemptions by the Company's shareholders. The Company has taken advantage of the following exemptions:

Cash Flow Statement - The Company has taken advantage of the exemption, under FRS 102 paragraph 1.12 (b), from preparing a statement of cash flows, on the basis that it is a qualifying entity and its ultimate parent company, Bridgepoint Group plc, includes the Company's cash flows in their own consolidated financial statements.

Related Party Transactions - The Company has taken advantage of the exemption, under FRS 102 paragraph 33.1A, from the requirement to disclose related party transactions within the Bridgepoint Group on the grounds that 100% of the voting rights are controlled within the Group. Transactions with the Bridgepoint funds and the shareholders of the Bridgepoint Group are not exempt and are disclosed where applicable.

Key Management Personnel Compensation - The Company has taken advantage of the exemption, under FRS 102 paragraph 33.7, from disclosing key management personnel compensation.

Share-Based Payment - The Company has taken advantage of the exemption, under FRS 102 paragraph 1.12 (d), from disclosing share-based payment arrangements, as the Company is a qualifying entity and share-based payment arrangements are presented with its ultimate parent, Bridgepoint Group plc, consolidated financial statements and the relevant disclosures are included therein.

(e) Revenue recognition

Income is recognised in the Profit and Loss Account and the Statement of Comprehensive Income on an accruals basis.

Turnover comprises mainly management fees earned from the management of various private equity funds. Management fees are recognised over the life of each fund based on an agreed percentage of either committed or invested capital, depending on the fund and its life stage. Fees are billed in accordance with the Limited Partnership Agreement ("LPA") and are billed semi-annually in advance or arrears.

Management fees accrued for the management of the funds which at the balance sheet date have not been billed have been recognised as revenue and are included in debtors as accrued income.

Turnover also comprises fees and commissions relating to provision of services to the Group affiliates and third parties.

All revenues are generated within the UK and Luxembourg.

(f) Other income

Other income consists of lease income from operating leases where the Company acts as an intermediate lessor by entering into a subletting agreement. Such contracts represent subleases of office premises.

(g) Management fees payable

Management fees payable are amounts paid to fellow Group entities for advisory services received. These are recognised on an accruals basis.

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

3 Summary of significant accounting policies (continued)

(h) Expenses

Expenses incurred have been recognised on an accruals basis.

(i) Placement agents' fees payable

Placement agents' fees are incurred during the raising of a fund. The limited partnership agreement of each fund dictates the aggregate expense that can be recharged to the fund investors on the close of a new fund. Costs in excess of the cap and any fees paid to placement agents are capitalised as a non-current asset.

The benefit of the incurred costs for private equity funds is primarily considered to be attributable to the period when the primary fund investment activity is carried out. Therefore, the useful life of the asset is the commitment period for the fund. A useful life of three years is used for private equity funds, being the shortest likely commitment period, but is typically between three and five years.

(j) Taxation

Taxation expense for the period comprises current and deferred tax recognised in the reporting period. Tax is recognised in the profit and loss account, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case tax is also recognised in other comprehensive income or directly in equity respectively.

Current tax is the amount of income tax payable in respect of the taxable profit for the year or prior year. Tax is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the period end.

Deferred tax arises from timing differences that are differences between taxable profits and total comprehensive income as stated in the financial statements. These timing differences arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in financial statements. Deferred tax is recognised on all timing differences at the reporting date except for certain exceptions.

Unrelieved tax losses and other deferred tax assets are only recognised when it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Deferred tax is measured using tax rates and laws that have been enacted or substantively enacted by the period end and that are expected to apply to the reversal of the timing difference.

Current or deferred taxation assets and liabilities are not discounted.

(k) Foreign currency transactions and balances

The Company's functional and presentation currency is the pound sterling. These financial statements are presented in pound sterling and rounded to thousands.

Foreign currency transactions are translated into the functional currency using the opening spot exchange rate for the month in which the transaction occurs as an approximation for the actual rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated to sterling using the closing rate at the year-end. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction and non-monetary items measured at fair value are measured using the exchange rate when fair value was determined.

Foreign currency gains and losses are recognised in the Profit and Loss Account.

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

3 Summary of significant accounting policies (continued)

(l) Tangible fixed assets and depreciation

Tangible fixed assets are stated at historic cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Repairs and maintenance are charged to profit and loss during the period in which they are incurred. Depreciation is charged as to allocate the cost of the asset less their residual value over their estimated useful lives, using the straight-line method:

<i>Asset class</i>	<i>Useful economic life</i>
Computers, furniture and other	3 to 5 years
Leasehold improvements	Over the lease term

(m) Term deposits

Term deposits represent fixed term deposits placed with banks and financial institutions with maturity of more than 3 months.

(n) Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and call deposits, held at call with banks with an original maturity of three months or less.

(o) Debtors

Short term debtors are measured at the transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment, except where repayable on demand the fair value of which is discounted from the earliest date it can be demanded.

(p) Creditors

Short term creditors are measured at the transaction price. Other financial liabilities are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment, except where repayable on demand.

(q) Holiday pay accrual

A liability is recognised to the extent of any unused holiday pay entitlement which has accrued at the balance sheet date and carried forward to future periods. This is measured at the undiscounted salary cost of the future holiday entitlement so accrued at the balance sheet date.

(r) Operating lease rentals

Operating leases are those leases where the Company has use of an asset but where significantly all risks and rewards of ownership remain with the lessor and the lease term is not expected to be a significant portion of the useful life of the asset.

Rentals under operating leases are charged to the Profit and Loss Account on a straight-line basis over the lease term. Any incentives to enter into an operating lease are credited to the Profit and Loss Account as a reduction of the rental expense on a straight line basis over the lease term.

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

3 Summary of significant accounting policies (continued)

(s) Reserves

The Company's reserves are as follows:

- Called up share capital reserve represents the nominal value of the shares issued.
- Retained earnings represents cumulative profits or losses, net of dividends paid and other adjustments.
- Cash flow hedge reserve represents the cumulative portion of gains and losses on hedging instruments deemed effective.
- Equity-settled share-based payments to employees are measured at the fair value of the equity instruments at the grant date.

(t) Derivative financial instruments and hedging

The Company enters derivative instruments to manage its exposure to foreign exchange rate risk, namely foreign currency forwards. Derivative financial instruments are initially measured at fair value on the date on which the derivative contract is entered into and are subsequently measured at fair value at each year end.

The resulting gain or loss is recognised in profit or loss in the respective period, unless the derivative is designated in an effective hedging relationship, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship.

Derivatives are carried as assets when the fair value is positive and as a liability when the fair value is negative. The fair value of the forward currency contracts is calculated by reference to the market for forward contracts with similar maturities.

Where the Company has designated the derivatives as cash flow hedges, the effective portion of the gain or loss on the hedging instrument is recognised in other comprehensive income in the cash flow hedge reserve while any ineffective portion is recognised immediately in the Profit and Loss Account as a gain or loss on cash flow hedges within operating expenses.

Amounts previously recognised in other comprehensive income and accumulated in equity are transferred to profit or loss in the period when the hedged transaction affects profit or loss, such as when the hedged cash flow matures.

Contracts entered into on behalf of other Group entities are recognised as a financial asset/liability, but with no impact on the profit and loss account or equity as the Company does not incur a gain or loss on the settlement of these contracts.

(u) Financial instruments

Financial assets

Basic financial assets, including trade and other debtors, and cash and cash equivalents, are initially recognised at transaction price, unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest net of transaction costs. Such assets are subsequently carried at amortised cost using the effective interest method.

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

3 Summary of significant accounting policies (continued)

(u) Financial instruments (continued)

Financial liabilities

Basic financial liabilities, including trade and other creditors, and loans from related parties, are initially recognised at transaction price, unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future receipts discounted at a market rate of interest.

Financial assets and liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. The Company has chosen to adopt Sections 11 and 12 of FRS 102 in respect of financial instruments.

(v) Pensions

Amounts payable in respect of employer's contributions to the Company's defined contribution pension scheme are recognised in administrative expenses on an accruals basis. The assets of the scheme are held separately from those of the Company in an independently administered fund.

4 Judgements in applying accounting policies and key sources of estimation uncertainty

In applying the Company's accounting policies, the Directors may be required to make judgements, estimates and assumptions that could impact the amounts reported for assets and liabilities as at the reporting date and the amounts reported for revenues and expenses during the year. The Directors' judgements, estimates and assumptions are based on the best and most reliable evidence available at the time when the decisions are made, and are based on historical experience and other factors that are considered to be applicable. Due to the inherent subjectivity involved in making such judgements, estimates and assumptions, the actual results and outcomes may differ.

The judgments, estimates and assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised if, the revision affects only that year, the year of the revision and future years, or if the revision affects both current and future years. The Directors do not consider the financial statements to have any critical estimates or matters requiring significant judgement.

5 Turnover

	2023 £ 000	2022 £ 000
Management and other fee income	164,295	149,765
Other income	558	672
	<u>164,853</u>	<u>150,437</u>

6 Profit before tax and interest

This is stated after charging:

	2023 £ 000	2022 £ 000
Foreign exchange (gains)	(789)	(2,656)
Depreciation expense	4,303	3,563
Operating lease expense - property	<u>7,559</u>	<u>8,630</u>

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

6 Profit before tax and interest (continued)

Auditors remuneration paid to Mazars for the audit of the Company is £48,000 (2022: £46,000). The Company paid auditors' remuneration of £67,000 (2022: £153,000) on behalf other Bridgepoint Group entities.

In accordance with SI 2008/489 the Company has not disclosed the fees payable to the Company's auditor for 'Other services' as this information is included in the consolidated financial statements of Bridgepoint Group plc.

7 Employees

The monthly average number of persons employed by the Company (including Directors) during the year, was as follows:

2023	2022
No.	No.
116	110

The aggregate payroll costs (including Directors' remuneration) were as follows:

	2023	2022
	£ 000	£ 000
Wages and bonuses	23,010	22,835
Social security costs	3,036	2,973
Pension costs	886	518
Other employee costs	719	352
Share-based payment expenses	1,012	147
	<u>28,663</u>	<u>26,825</u>

8 Directors' remuneration

The Directors' remuneration for the year was as follows:

	2023	2022
	£ 000	£ 000
Aggregate emoluments	3,770	4,020
Pension contributions	11	12

The remuneration shown above reflects remuneration paid directly by the Company. It does not include any attribution of remuneration paid to any Director who is employed and paid by another Group entity as remuneration received by individual Directors cannot be sensibly attributed across the entities for which each Director is a Director of. G P Weldon, a Director of the Company is an employee of another Group company, Bridgepoint Advisers UK Limited.

The emoluments of the highest paid Director were £836,866 (2022: £960,000) and employer contributions to defined contribution pensions schemes were nil (2022: £12,000).

There were no compensation payments outside the normal remuneration process paid to Directors of the Company (2022: nil).

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

9 Taxation

(a) Tax expense included in the Profit and Loss Account

	2023 £ 000	2022 £ 000
Current taxation:		
UK corporation tax	7,205	1,314
UK corporation tax adjustment to prior periods	1,151	(384)
Total current tax	<u>8,356</u>	<u>930</u>
Deferred taxation:		
Arising from origination and reversal of timing differences	(1,158)	3,958
Deferred tax adjustment to prior periods	(1,116)	-
Total deferred tax	<u>(2,274)</u>	<u>3,958</u>
Tax charge on profit	<u><u>6,082</u></u>	<u><u>4,888</u></u>

(b) Reconciliation of tax charge

The tax on profit before tax for the year is higher than the standard rate of corporation tax in the UK of 23.5% (2022: higher than the standard rate of corporation tax in the UK of 19%).

The differences are reconciled below:

	2023 £ 000	2022 £ 000
Profit before tax	<u>22,964</u>	<u>17,641</u>
Tax on profit before taxation		
at the standard rate of corporation tax in the UK of 23.5% (2022: 19%)	5,396	3,352
Effect of expenses not deductible in determining taxable profit	648	971
Adjustment in respect of prior periods	35	(385)
Effect of tax rate changes	-	950
Deferred tax not recognised	3	-
	<u>686</u>	<u>1,536</u>
Total tax charges for the year	<u><u>6,082</u></u>	<u><u>4,888</u></u>

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

10 Tangible assets

	Leasehold improvements £ 000	Computers, furniture and other £ 000	Total £ 000
Cost			
At 1 January 2023	25,522	7,116	32,638
Additions	801	1,572	2,373
Disposals	(262)	(656)	(918)
At 31 December 2023	<u>26,061</u>	<u>8,032</u>	<u>34,093</u>
Accumulated Depreciation			
At 1 January 2023	1,730	3,960	5,690
Charge for the year	2,803	1,501	4,304
Disposals	(262)	(656)	(918)
At 31 December 2023	<u>4,271</u>	<u>4,805</u>	<u>9,076</u>
Net book value at			
At 31 December 2022	<u>23,792</u>	<u>3,156</u>	<u>26,948</u>
At 31 December 2023	<u>21,790</u>	<u>3,227</u>	<u>25,017</u>

11 Debtors

	2023 £ 000	2022 £ 000
Amounts due within one year:		
Amounts owed by Group undertakings	439,103	353,565
Other debtors	37,052	31,366
Prepayments and accrued income	6,160	14,833
Placement agents' fees payable	1,334	1,209
	<u>483,649</u>	<u>400,973</u>

Amounts owed by Group undertakings represent short term receivables due from the shareholders and other Group entities. This increase is mainly due to management fees earned but not yet settled and there are no risks to its recoverability. These amounts are unsecured, interest free, have no fixed date of repayments and are payable on demand.

Other debtors primarily relate to amounts to be invoiced to funds managed by the Company in relation to costs incurred on their behalf. Such costs include deal and fundraising expenditure. At the end of the year, within other debtors, amounts receivable from fund portfolio companies were £3.3m (2022: £2.4m).

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

12 Finance derivative instruments note

The Company has entered into a series of forward trades and swap agreements to sell EUR and buy GBP at various dates in the future to reduce the currency exposure of EUR denominated income to future spot rate volatility. At 31 December 2023, the Company had £291m (2022: £277m) of forward trades maturing through 2024-2025 (2022: 2023-2024) to match certain expected future cash flows. The aggregate mark-to-market value of these hedges at 31 December 2023 was an asset of £55k (2022: liability £8.1m). These hedges are in place to match known future cash flows, and the Company has decided to use cash flow hedge accounting as allowed and determined under FRS 102.

The change in value that has been recognised through Profit and Loss (ineffective portion) is nil (2022: nil) and the amount recognised in the cash flow hedge reserve during the year (effective portion) is a gain of £5.1m (2022: loss £9.0m). The value of the forward trades is recognised through the Profit and Loss Account at the point of maturity of each trade and which will match the recognition of certain of the underlying cash flows of the business which the hedges relate to. During 2023 hedges with a gain value of £3.0m at the prior year end were released to the Profit and Loss (2022: loss £2.1m). There was no hedge ineffectiveness.

In addition the Company has entered into a number of agreements to sell EUR and buy GBP in the future on behalf of a fellow Group undertaking. The aggregate mark-to-market value of these trades was a liability of £706k at 31 December 2023 (2022: £4.1m). A payable for an equivalent amount is recognised within amounts owed to Group undertakings.

Fair value hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Company has access to at that date. The fair value of a liability reflects its non-performance risk.

The Group discloses fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2: Inputs other than quoted prices included within level 1 that are observable for assets or liabilities, either directly (i.e. as prices) or indirectly (i.e. derived from prices); and
- Level 3: Inputs for assets or liabilities that are not based on observable market data (i.e. unobservable inputs).

The following table summarises the valuation of the Company's financial assets and liabilities by fair value hierarchy:

	2023 £ 000	2022 £ 000
Financial Assets		
Level 1	-	-
Level 2	2,411	-
Level 3	-	-
	<u>2,411</u>	<u>-</u>

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

12 Finance derivative instruments note (continued)

	2023 £ 000	2022 £ 000
Financial Liabilities		
Level 1	-	-
Level 2	(1,649)	(12,169)
Level 3	-	-
	<u>(1,649)</u>	<u>(12,169)</u>

13 Creditors: amounts falling due within one year

	2023 £ 000	2022 £ 000
Trade creditors	1,086	271
Amounts owed to Group undertakings	344,007	345,101
Social security and other taxes	647	535
Other creditors	4,837	11,493
Group relief payable	16,324	1
	<u>366,901</u>	<u>357,401</u>

These amounts are unsecured, interest free, have no fixed date of repayments and are payable on demand.

14 Deferred tax liabilities

	2023 £ 000	2022 £ 000
Deferred tax liabilities	<u>(1,481)</u>	<u>(1,784)</u>

15 Called up share capital

Authorised

	2023	2022
	No.	No.
	£ 000	£ 000
Ordinary Shares of £1 each	<u>50,000</u>	<u>50,000</u>

Allotted, called up and fully paid shares

	2023	2022
	No.	No.
	£ 000	£ 000
Ordinary Shares of £1 each	<u>5,000</u>	<u>5,000</u>

The shares have the rights and restrictions as set out in the Articles of Association of the Company.

Bridgepoint Advisers Limited

Notes to the Financial Statements for the Year Ended 31 December 2023

16 Operating lease commitments

	2023	2022
By due date:	£ 000	£ 000
- within one year	9,644	4,580
- between two and five years	38,327	38,418
- after five years	24,065	33,618
	<u>72,036</u>	<u>76,616</u>

17 Related party transactions

The Bridgepoint funds are related parties of the Company. Amounts received as fees from the funds during the year were £196.7m (2022: £166.1m). £14.3m is included within amounts receivable at year end (2022: £20.7m).

18 Parent and ultimate parent undertaking

The Company's immediate parent is Bridgepoint Advisers Holdings, incorporated in England and Wales, United Kingdom. The address of Bridgepoint Advisers Holdings' registered office is 5 Marble Arch, London, W1H 7EJ.

The parent of the largest and smallest group in which these financial statements are consolidated is Bridgepoint Group plc, incorporated in England and Wales, United Kingdom. The address of Bridgepoint Group plc's registered office is 5 Marble Arch, London, W1H 7EJ.

The financial statements of Bridgepoint Advisers Holdings and Bridgepoint Group plc are available from Companies House, Crown Way, Cardiff, CF14 3UZ.

19 Events after the end of the reporting period

There have been no material events after the reporting period that would require adjusting or disclosing within these accounts.